

Standard Chartered

Playing to its strengths

Rating Change: NEUTRAL | PO: 186.66 HKD | Price: 170.60 HKD

Upgrade to Neutral, growth upside balanced by valuation

We upgrade Standard Chartered to Neutral from Underperform and raise PO to HKD186.66 from HKD150.50. The company has done well, particularly in Asia Wealth Management, however the share price has done even better – despite limited consensus upgrades for 2025e-2027e at the pre-provisional level this year, shares re-rated more than the sector. We think upside and downside risks are balanced at this point – Wealth growth could be even stronger (albeit we are already above consensus by c.3-4%), and there could be one-off gains in the Ventures business (which we do not currently forecast given low visibility). However, we also see downside risks in costs – assuming below the line restructuring costs fall significantly in 2027 as per management guidance implies total cost would be falling in absolute terms, which would be unusual for a bank that is still aiming to grow revenues.

Wealth growth continues, helped by differentiated products

Wealth has been one of the key growth drivers for Standard Chartered. Front end flows continue to be strong and given a 6-12 month time lag between account opening, deposit funding, and deployment into wealth products, we think 2026 would be another strong year. Standard Chartered has been particularly successful in creating products with travel and lifestyle related benefits that are differentiated, and highly valued by the target customers. Combined with a highly visible marketing campaign, we think they will continue to be successful in attracting new customers. We expect 13-17% Wealth fee income growth in 2026e and 2027e, c.3-4% above consensus.

Valuation in line even assuming mid-teens ROTE

Consensus is currently expecting just under 14% underlying (i.e. ex restructuring) ROTE in 2025. We think it is possible that Standard Chartered could be making mid-teens underlying ROTE in the medium term (we forecast c.15% for 2027-2028, consensus c.14% for 2027), and we expect this to be a key focus at the Asia investor seminar in May. However, with shares now trading at c.9x FY26e P/E and c.1.2x P/TBV26e, this is in line with the sector which is trading at an average of 1.3x P/TBV26e for c.16% ROTE.

Estimates (Dec) (US\$)	2023A	2024A	2025E	2026E	2027E
Net Income (Adjusted - mn)	3,581	4,276	5,310	5,138	5,783
EPS	1.29	1.68	2.29	2.37	2.84
EPS Change (YoY)	31.7%	30.4%	36.1%	3.7%	19.8%
Consensus EPS (Visible Alpha)			1.97	2.01	2.58
Dividend / Share	0.27	0.37	0.53	0.53	0.71
Adjusted NAV PS	13.93	15.41	17.57	18.69	20.46
Valuation (Dec)					
P/E	17.01x	13.04x	9.59x	9.24x	7.72x
Price / NAV	1.57x	1.42x	1.25x	1.17x	1.07x
Net Yield	1.23%	1.69%	2.41%	2.40%	3.24%

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Refer to important disclosures on page 15 to 17. Analyst Certification on page 12. Price Objective Basis/Risk on page 12.

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10 December 2025

Equity

Key Changes

(US\$)	Previous	Current
Inv. Opinion	B-3-7	B-2-7
Inv. Rating	UNDERPERFORM	NEUTRAL
Price Obj.	HK\$150.50	HK\$186.66
2026E EPS	2.35	2.37
2027E EPS	2.70	2.84

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Stock Data

Price	170.60 HKD
Price Objective	186.66 HKD
Date Established	10-Dec-2025
Investment Opinion	B-2-7
52-Week Range	86.25 HKD-175.50 HKD
Mkt Val / Shares Out (mn)	49,777 USD / 2,270.6
Market Value (mn)	387,362 HKD
Average Daily Value (mn)	18.23 USD
Free Float	100.0%
BofA Ticker / Exchange	XCHBF / HKG
Bloomberg / Reuters	2888 HK / 2888.HK
ROE (2025E)	10.4%

CIB: Corporate and Investment Banking

CRE: Commercial Real Estate

LTV: Loan to value

NNM: Net new money

PBT: Profit before tax

PPOP: Pre provision operating profit

TBV: Tangible book value

WRB: Wealth and Retail Banking

iQprofileSM Standard Chartered

Key Income Statement Data (Dec)

(US\$ Millions)

	2023A	2024A	2025E	2026E	2027E
Net Interest Income	10,257	11,096	10,867	10,891	11,091
Net Fee Income	NA	NA	NA	NA	NA
Securities Gains / (Losses)	NA	NA	NA	NA	NA
Other Income	7,121	8,600	10,037	10,458	11,365
Total Non-Interest Income	7,121	8,600	10,037	10,458	11,365
Total Operating Income	17,378	19,696	20,904	21,349	22,456
Operating Expenses	(11,136)	(11,790)	(12,217)	(12,430)	(12,737)
Pre-Provision Profit	6,242	7,906	8,687	8,920	9,719
Provisions Expense	(658.00)	(1,146)	(844.95)	(1,068)	(1,097)
Operating Profit	NA	NA	NA	NA	NA
Non-Operating Income	(491.00)	(747.00)	(680.00)	(960.00)	(200.00)
Pre-Tax Income	5,093	6,013	7,162	6,891	8,422
Net Income to Comm S/Hold.	3,017	3,593	4,725	4,387	5,566
Adjusted Net Income (Operating)	3,581	4,276	5,310	5,138	5,783

Key Balance Sheet Data

Total Assets	822,844	849,688	920,196	939,965	958,998
Average Interest Earning Assets	572,520	539,338	551,628	596,766	616,167
Weighted Risk Assets	244,151	247,065	262,684	274,747	283,661
Total Gross Customer Loans	292,145	285,936	290,323	300,355	309,381
Total Customer Deposits	469,418	464,489	527,350	551,486	574,114
Tier 1 Capital	39,806	41,672	43,335	43,611	44,688
Tangible Equity	38,231	38,597	40,754	40,678	41,869
Common Shareholders' Equity	44,445	44,388	46,899	47,094	48,480

Key Metrics

Net Interest Margin	1.79%	2.06%	1.97%	1.83%	1.80%
Tier 1 Ratio	16.3%	16.9%	16.5%	15.9%	15.8%
Effective Tax Rate	32.0%	32.8%	26.0%	28.5%	27.5%
Loan / Assets Ratio	34.9%	33.1%	31.0%	31.4%	31.7%
Loan / Deposit Ratio	61.1%	60.5%	54.1%	53.6%	53.0%
Oper Leverage (Inc Growth - Cost Growth)	3.3%	7.5%	2.5%	0.4%	2.7%
Gearing (Assets / Equity)	18.5x	19.1x	19.6x	20.0x	19.8x
Tangible Common Equity / Assets	4.6%	4.5%	4.4%	4.3%	4.4%
Tangible Common Equity / WRAs	15.7%	15.6%	15.5%	14.8%	14.8%
Revenue Growth	10.3%	13.3%	6.1%	2.1%	5.2%
Operating Expense Growth	7.0%	5.9%	3.6%	1.7%	2.5%
Provisions Expense Growth	-24.8%	74.2%	-26.3%	26.4%	2.7%
Operating Revenue / Average Assets	0.7%	0.8%	0.9%	0.8%	0.9%
Operating Expenses / Average Assets	-1.4%	-1.4%	-1.4%	-1.3%	-1.3%
Pre-Provision ROA	0.8%	0.9%	1.0%	1.0%	1.0%
ROA	0.4%	0.4%	0.5%	0.5%	0.6%
Pre-Provision ROE	14.3%	17.8%	19.0%	19.0%	20.3%
ROE	6.9%	8.1%	10.4%	9.3%	11.6%
RoTE	9.9%	11.6%	13.9%	13.1%	14.5%
RoWRAs	7.1%	8.0%	8.2%	7.9%	8.0%
Dividend Payout Ratio	20.9%	22.0%	23.1%	22.2%	25.0%
Efficiency Ratio	64.1%	59.9%	58.4%	58.2%	56.7%
Headline Cost/Income Ratio	NA	NA	NA	NA	NA
Total Non-Interest Inc / Operating Inc	59%	56%	52%	51%	49%
Market-Related Revenue / Total Revenues	0%	0%	0%	0%	0%
Provisioning Burden as % of PPP	10.5%	14.5%	9.7%	12.0%	11.3%
NPLs plus Foreclosed Real Estate / Loans	NA	NA	NA	NA	NA
Loan Loss Reserves / NPLs	71.5%	79.1%	77.9%	75.3%	73.1%
Loan Loss Reserves / Total Loans	1.8%	1.7%	1.7%	1.7%	1.6%
Provisions Expense / Average Loans	0.2%	0.4%	0.3%	0.4%	0.4%

Other Metrics

Income / Employee	NA	NA	NA	NA	NA
(Operating Expenses) / Employee	NA	NA	NA	NA	NA
Pre-Provision Profit / Employee	NA	NA	NA	NA	NA
Net Profit / Employee	NA	NA	NA	NA	NA

Company Sector

Banks-Multinational/Universal

Company Description

Standard Chartered is headquartered in London, but its major operations are in Asia and Africa, with a diverse footprint within these continents. Standard Chartered has three main divisions, including Wealth and Retail Banking, Corporate and Institutional Banking, and Ventures. The shares are listed in both London and Hong Kong in a dual primary listing.

Investment Rationale

We rate Standard Chartered Neutral. We expect Wealth growth to remain strong, and management has been successful in terms of creating differentiated products that are highly valued by their target customers. There is potential downside on NII in a falling US rate environment. We also see downside risk to cost, particularly below the line. Shares are not expensive, but also not obviously cheap versus the sector.

Stock Data

Price to Book Value

1.0x

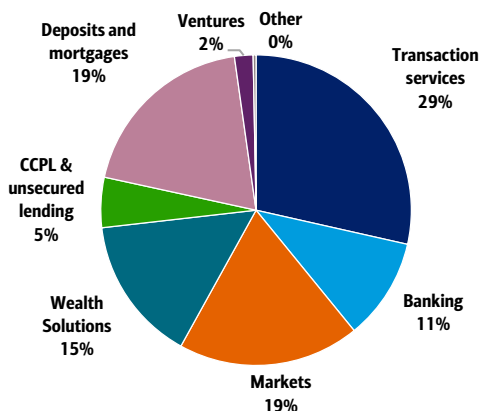


Wealth: Continue to drive growth

Standard Chartered's revenue profile is split roughly 50:50 NII and non-NII. Non-NII growth has been driving most of the growth.

Exhibit 1: Total revenue split by income lines, 2025e

Deposits and mortgages, and Wealth Solutions make up about one third of total income

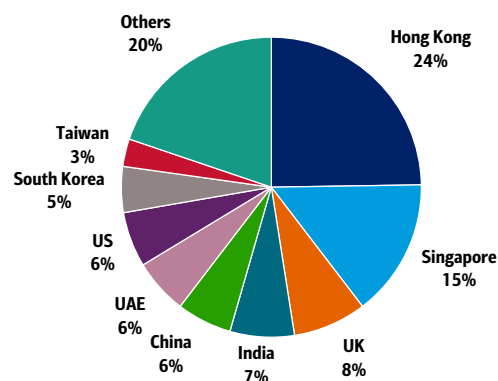


Source: BofA Global Research estimates

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Exhibit 2: 9M25 income split by geography

Standard Chartered's franchise is heavily focused on Asia and the Middle East



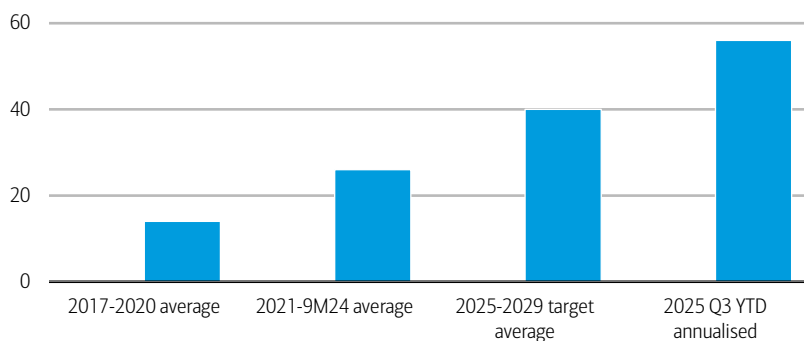
Source: Company presentation

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The Wealth business in particular has been one of the key growth drivers for Standard Chartered. Front end flows continue to be strong and given a 6-12 month time lag between account opening, deposit funding, and deployment into wealth products, we think 2026 would be another strong year.

Exhibit 3: Net new money average per annum (\$bn)

Net new money flows in 2025 already exceeds target in the first three quarters



Source: Company presentation

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Assume net new money flows continues to grow at a similar pace

At a high level, we expect the flows to be sustainably strong in the foreseeable future. In our view, two factors helped to support the strong Wealth Management performance. Firstly, because the Hong Kong dollar is pegged to the USD, Hong Kong rates have been higher than those in mainland China, driving wealth inflows into Hong Kong. Secondly, there has been large demand for investment diversification, especially with the significant outperformance of offshore assets vs China onshore assets, particularly property, traditionally a popular vehicle for investments for middle-class families.

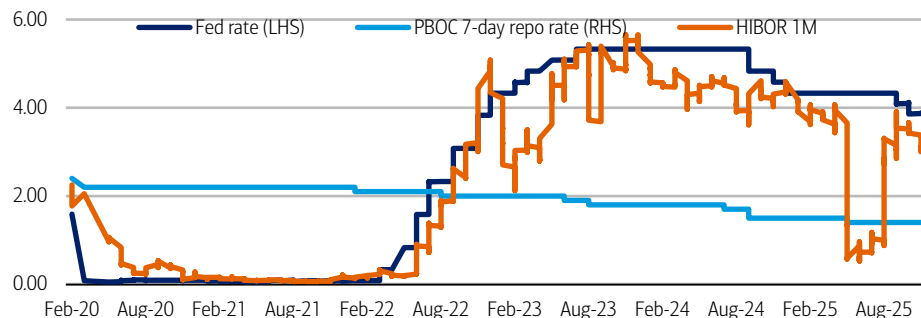
Our China and Asia Economist Helen Qiao expects monetary policy to remain loose – see [China Viewpoint: 2026 Year Ahead: Policy stimulus and trade conflict hold the key to stable growth 24 November 2025](#).



While a near-term policy rate cut appears unlikely due to persistent concerns about banks' net interest margins (NIM), we expect the easing cycle to resume as early as in late-2Q26. Softer growth momentum in Q1, coupled with a possible shift in the Federal Reserve's policy stance toward rate cuts, could present the opportunity for the PBoC to lower rates-potentially by 20bp via OMO over the course of the year. In addition, RRR cuts are also likely to support accelerated local government bond issuance, aligning with broader fiscal expansion objectives.

Exhibit 4: PBOC 7day repo rate vs Fed Funds Rate (%)

Rate differential widened in 2023 as the US entered rate rise cycle (China rates were c.2% higher pre rate rise, but c.3.5% lower by Aug-23 when US rates peaked)



Source: Bloomberg

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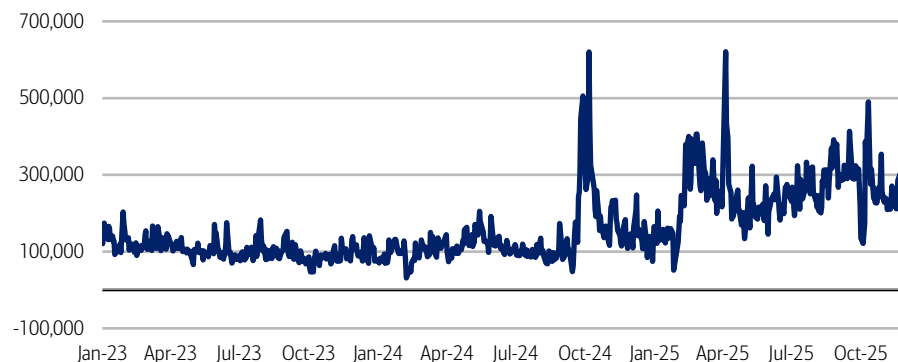
HK Exchange turnover remaining high and likely to remain high in 2026

Hong Kong Exchange saw particularly high turnover in 2025. The global market liquidity improvement made Hong Kong a key beneficiary, particularly after the weak turnover over the past 2-3 years. This was supported by the revival of IPOs, which made HKEX reach the top of global exchanges.

While our analyst for HKEX Michael Li thinks that the high base leaves limited room for further increase of turnover in 2026, the overall liquidity environment can continue to be supportive to the current market turnover level. See [HKEX: 2026 outlook: from liquidity to products 27 November 2025](#).

Exhibit 5: Hong Kong Exchange turnover (HKD million)

Turnover was elevated in 2025, even outside of periods of particularly high volatility (e.g. Liberation Day)



Source: Bloomberg

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Southbound flows expected to continue

Southbound turnover increased >150% YoY in 2025 and accounted for 24% of the total Hong Kong turnover, up from 17% in 2024, also the highest in the history. The differences compared with previous years might be due to the participation of more insurance funds seeking high-dividend-yield stocks in Hong Kong when the domestic asset yields went lower. We expect the inflow to continue into 2026, but if

China holds its interest rates, instead of cutting further, additional inflow may not be strong, vs. the already high base.

Investment and differentiated products focused on travel and lifestyle supporting market share gains

Standard Chartered has been on the front foot when it comes to investing in their Asia Wealth business. As a reminder, at Q324 they committed to investing \$1.5bn over 5 years in their mass affluent business, which comprises of 50% in people, and 25% each in digital/ technology and brand, marketing and client centers.

These investments have supported product propositions that are creative and differentiated. For example, they have doubled down on their travel rewards proposition, a key attraction to mass affluent customers.

On top of a credit card partnership with Cathay Pacific, the flagship carrier of Hong Kong, they have expanded mileage rewards in other banking products, including deposits, payroll accounts, wealth management etc.

Eliza Law, Head of Affluent Segment and Distribution, press interview Apr-25 –

“Our Priority Banking services are constantly evolving to meet the needs of the affluent clients who are eager to earn miles. The survey reveals that nearly half HNWIs have earned miles through banking services, standard such as setting up time deposits, payroll accounts, and wealth management. The number of affluent clients setting up Asia Miles Time Deposit with large deposits continues to rise, with some clients earning over 4 million miles within a year through banking services. Furthermore, earning miles through payroll accounts has become a new trend, allowing clients to easily enhance their next journey simply by receiving their salary.”

Exhibit 6: Standard Chartered Affluent Travel Study 2025

Standard Chartered commissioned surveys in 2024 and 2025 to understand travel preferences and behaviours of HNWI (high-net-worth) individuals



Source: Company social media

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These product launches are also complemented by a marketing campaign that targets travellers – for example the first rollout of the 'Now's Your Time for Wealth' campaign in January 2025 ran in a mix of out-of-home advertising across airports and in-city sites, print advertising, film and content partnerships with leading international, regional and local media across the seven key markets – Singapore, Hong Kong, mainland China, Korea, Taiwan, UAE, and India.

Exhibit 7: Priority Banking Asia Miles Award

Examples of offers aimed at attracting Priority Banking customers; 1USD = c.HKD7.8

	New clients offer	Existing clients upgrade	Examples of business class returns equivalent
Sign up to Priority Banking			
Depositing first HKD 1m	35000		Hanoi, Manila, Taipei
Depositing first HKD 1.5m	50000		
Depositing first HKD 2m	70000		Tokyo
Every subsequent 1m, started from HKD 2m	30000		
Maximum total reward	220000		London, Paris
Sign up via mobile app	Extra cash rebate		
Wealth Management Product Reward			
Accumulated transaction and/ or subscription amount of HKD 200,000	5000		
Accumulated transaction and/ or subscription amount of HKD 500,000	10000		
Every subsequent HKD 500,000 started from HKD 1m	10000		
Upgrading to Priority Banking online			
		5000	
Depositing HKD 500,000 new funds		15000	
Every subsequent HKD 500,000		10000	

Source: Company website, Cathay Pacific

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Medium term – path to mid-teens ROTE

Management has committed to providing medium term financial guidance in May, at the Asia investor seminar.

We think it is possible that management could guide to mid-teens ROTE for the medium term. We currently forecast c.14-15% ROTE for 2028. We have made the following high-level assumptions:

Interest rate: US rate stabilising at c.3%

Loan growth: 3-4%

Deposit growth: 4-5%

Wealth growth: 13-16% per year in 2026-2028 (consensus 11-13%)

Tax rate: 27.5% from 2027 (consensus 28-29%)

Upside risk (i) – Wealth

As discussed in the section above, Wealth remains a strong growth engine. In 2024 and 2026 growth rates have been in the high 20s%. If this is repeated clearly there would be more upside, however we note that market conditions were highly favourable – and accounts for almost half the AUM growth.

Upside risk (ii) – Ventures

The Ventures business incorporate Standard Chartered's digital banks in Hong Kong (Mox) and Singapore (Trust), as well as other investments in private companies and joint ventures.

While we do not currently forecast gains on sales in the Ventures business, we nevertheless think this could be a source of upside, potentially via gain on sale, or recognising a marked-to-market gain.

Management currently guides to a cumulative loss of less than \$200m in the business, but in Q3 alone the loss was \$110m. Run rate loss for the business has been c.\$100m per quarter in the last eight quarters, excluding the Solv India gain recognized in Q2 this year.

Bill Winters, CEO, Q325 presentation – ‘Yes, I'm going to add income growth to the top of the line, we'll have ongoing expense management as we've had. And while lumpy and less predictable in terms of the timing, we'll see gains on sale as well. So we remain committed to our cumulative loss target in Ventures over the planning period.’

Updates on key businesses within the Ventures business:

- Mox and Trust – Expected to turn profitable in 2026
- Zodia Markets (digital asset platform) – raised \$18.25 million in a Series A funding round in September 2025 (see company press release)
- Olea (supply chain finance platform) – secured a \$100m warehouse financing facility

Other businesses include

- Zodia Custody (institutional custody for cryptoassets and tokenised assets)
- Libeara (Asset tokenisation platform for Fund and Asset Managers)
- SWIAT (On-chain market infrastructure platform for Financial Institutions)
- Rippe (Blockchain payments network, crypto custody and prime brokerage)

Downside risk (i) – Cost

We have noted in the past that Standard Chartered is one of the few UK/ European banks that still reports restructuring charges below the line. While there are inevitably



one-off costs in any given year, most banks have been able to absorb them within their core cost line.

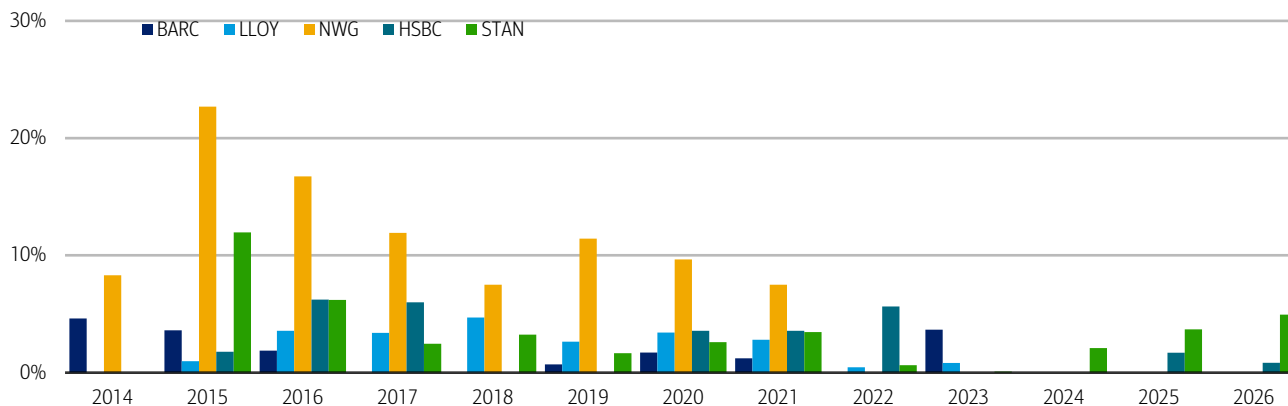
The current Fit for Growth programme is expected to have a cost to achieve (CTA) of c.\$1.5bn. The programme is made up of c.200 grassroots programmes that drive benefits ranging from a few hundred thousand dollars all the way to tens of millions of dollars. 80% of the projects individually delivered less than \$10 million in estimated annual benefits.

While we agree these are worthwhile cost initiatives, they are BAU costs not one-off restructuring charges, in our view. Most banks have cost efficiency programmes running on a day-to-day basis.

We do note that HSBC also has restructuring charges in 2025/2026, but they largely relate to severance cost, as management aims to reduce duplication of roles following a drive to simplify the organizational structure. We believe these high-profile severance programmes are more one-off in nature.

Exhibit 8: Restructuring charge as a proportion of total income

Standard Chartered is one of the few banks that continue to report a restructuring charge below the line



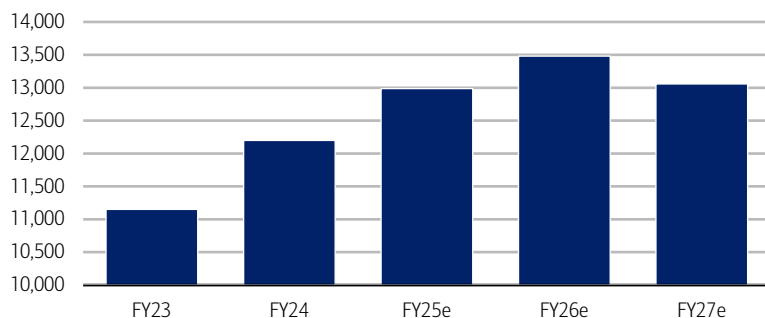
Source: Company reports, BofA Global Research estimates

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Management has been clear that the Fit for Growth programme will not bleed into 2027 and beyond. While we expect a relatively low restructuring charge in 2027 – as it would be important for management credibility, we see some risks to the cost profile in 2028 and beyond.

Exhibit 9: Operating cost including below the line restructuring

Restructuring costs are expected to fall significantly in 2027e post the fit for growth programme, implying an absolute cost reduction on an all-in basis



Source: Company reports, BofA Global Research

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Valuation not expensive but already re-rated

Momentum in fee income growth remains strong, and we expect new targets given at FY25/ Asia investor seminar scheduled for May-26 to be positive catalysts.

However, the stock has already re-rated significantly in the year. Comparing company aggregated post Q424 and post Q325 consensus, underlying EPS for 2026 and 2027 only increased by c.4%, and lower for reported EPS given higher restructuring charge estimates.

Exhibit 10: Consensus estimate changes, post Q425 to present

Pre-provision operating profit estimates increased by 3% since start of year, reported EPS broadly flat given higher restructuring charges

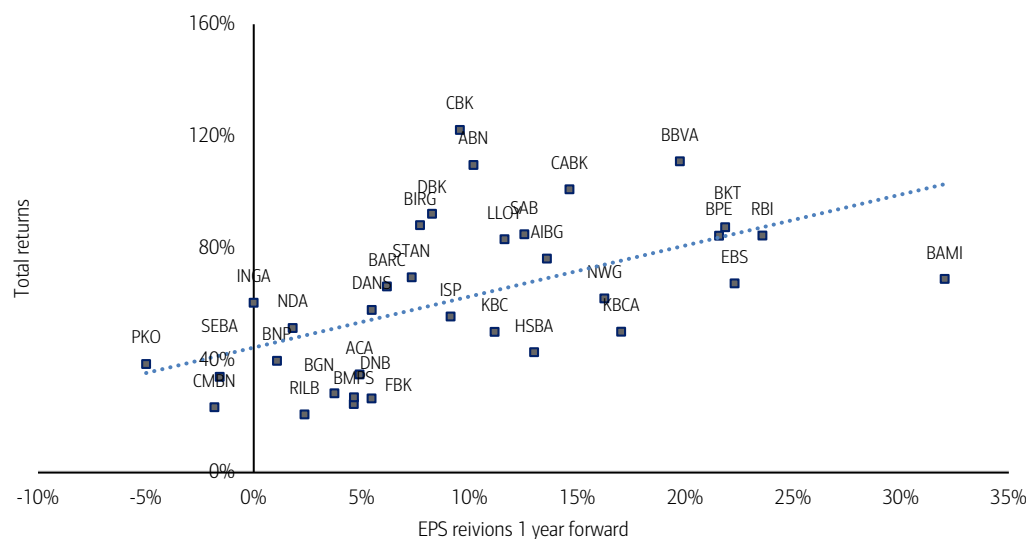
	2025		2026		2027	
	Post Q424	Post Q325	Post Q424	Post Q325	Post Q424	Post Q325
Attributable profit	3904	4692	4509	4597	5230	5498
- of which Solv India gain		238				
- of which tax rate		257				
- of which impairment, assuming 30% tax rate		123				
Pre provision operating profit ex Solv India	8201	8485	8816	9055	9453	9761
Change		3%		3%		3%
Underlying EPS	199.6	226.6	234.8	243.2	272.9	282.7
Change		14%		4%		4%
Reported EPS	169.1	202.3	211	213.7	263.5	272.6
Change		20%		1%		3%

Source: Company consensus

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Exhibit 11: Total returns versus EPS revisions 1 year forward

Versus the sector, Standard Chartered has re-rated more



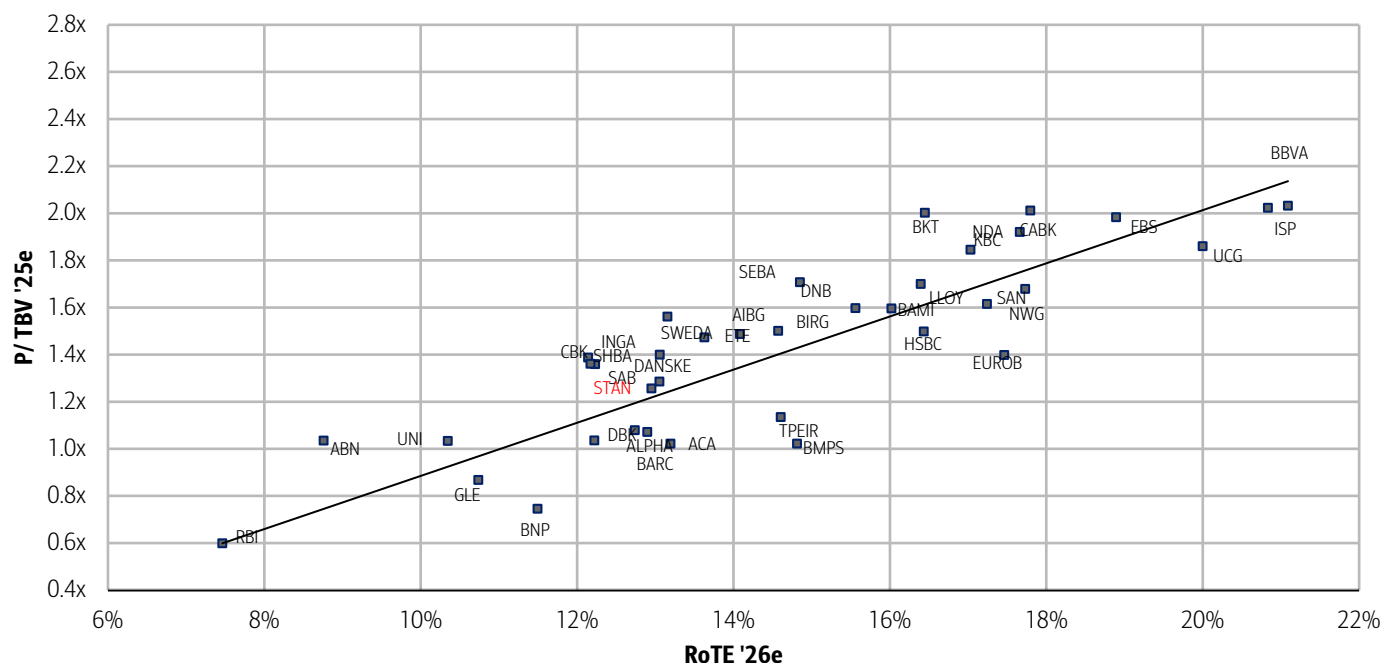
Source: Bloomberg

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Exhibit 12: ROTE26e vs P/TBV 25e

Standard Chartered trades slightly above sector averages, and is more expensive versus other UK banks



Source: BofA Global Research estimates

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Exhibit 13: Forecast versus consensus, FY25e-FY27e

Our forecasts are broadly in line with consensus at the underlying PBT level

	2025			2026			2027		
	Cons	BofA	Diff	Cons	BofA	Diff	Cons	BofA	Diff
NII	10,952	10,867	-1%	10,965	10,891	-1%	11,205	11,091	-1%
Other income	9,971	10,037	1%	10,456	10,458	0%	11,274	11,365	1%
Total income	20,923	20,904	0%	21,421	21,349	0%	22,479	22,456	0%
Costs	(12,200)	(12,217)	0%	(12,367)	(12,430)	1%	(12,717)	(12,737)	0%
PPOP	8,723	8,687	0%	9,054	8,920	-1%	9,762	9,719	0%
Impairments	(884)	(845)	-4%	(1,101)	(1,068)	-3%	(1,187)	(1,097)	-8%
Other income/ Associates	82	90	10%	88	90	2%	97	100	3%
Underlying PBT	7,921	7,932	0%	8,041	7,941	-1%	8,672	8,722	1%
Exceptionals	(755)	(770)	-	(826)	(1,050)	-	(248)	(300)	-
PBT	7,166	7,162	0%	7,215	6,891	-4%	8,424	8,422	0%
Reported EPS	202.3p	203.6p	1%	213.7p	202.6p	-5%	272.6p	273.5p	0%
Adj. EPS	226.6p	228.8p	1%	243.2p	237.3p	-2%	282.7p	284.2p	1%
EPS	202.3	203.6	1%	213.7	202.6	-5%	272.6	273.5	0%
ROTE	12.3%	12.4%	0.1%	11.7%	11.2%	-0.5%	13.6%	14.0%	0.4%
CET1	14.1%	14.0%	-0.1%	13.9%	13.5%	-0.4%	14.0%	13.5%	-0.5%
DPS	46.5	52.9	14%	52.4	52.7	1%	62.3	71.1	14%
Buyback	2,800	2,800	0%	2,659	3,000	13%	2,541	3,000	18%
TBVPS	17.25	17.57	2%	18.79	18.69	-1%	20.91	20.46	-2%

Source: BofA Global Research estimates, Company consensus

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Exhibit 14: Estimate changes

Higher non-interest income reflecting stronger wealth growth.

	2025E			2026E			2027E		
	New	Old	Change	New	Old	Change	New	Old	Change
Underlying P&L (\$m)									



Exhibit 14: Estimate changes

Higher non-interest income reflecting stronger wealth growth.

	2025E			2026E			2027E		
Net interest income	10,867	10,867	0%	10,891	10,891	0%	11,091	10,999	1%
Non Interest income	10,037	10,037	0%	10,458	10,371	1%	11,365	11,081	3%
Total income	20,904	20,904	0%	21,349	21,262	0%	22,456	22,080	2%
Operating costs	(12,217)	(12,217)	0%	(12,430)	(12,430)	0%	(12,737)	(12,758)	0%
Pre-provision profits	8,687	8,687	0%	8,920	8,832	1%	9,719	9,322	4%
Credit impairment	(770)	(770)	0%	(983)	(983)	0%	(1,012)	(1,012)	0%
Other impairment	(75)	(75)	0%	(85)	(85)	0%	(85)	(85)	0%
Associates and JV	90	90	0%	90	90	0%	100	100	0%
Underlying PBT	7,932	7,932	0%	7,941	7,854	1%	8,722	8,325	5%
Income exceptionals	0	0		0	0		0	0	
Cost exceptionals	(770)	(770)		(1,050)	(1,050)		(300)	(300)	
Impairment exceptionals	-	-		-	-		-	-	
Stat profit before tax	7,162	7,162	0%	6,891	6,804	1%	8,422	8,025	5%
Tax	(1,862)	(1,862)		(1,964)	(1,939)		(2,316)	(2,247)	
Minority and prefs	(575)	(575)		(540)	(540)		(540)	(540)	
Statutory AP	4,725	4,725	0%	4,387	4,325	1%	5,566	5,238	6%
Profitability Metrics									
EPS (reported)	204	204	0%	203	200	1%	274	259	6%
EPS (underlying)	229	229	0%	237	235	1%	284	270	5%
Stat ROTE	12.4%	12.4%	0.0%	11.2%	11.0%	0.2%	14.0%	13.2%	0.8%
Underlying ROTE	13.9%	13.9%	0.0%	13.1%	13.0%	0.1%	14.5%	13.8%	0.8%
Key balance sheet items (\$m)									
Loans and advances to customers	285,419	285,419	0%	295,451	295,451	0%	304,477	304,477	0%
Tangible Equity	39,260	39,260	0%	39,184	39,126	0%	40,375	40,024	1%
TBVPS	17.57	17.57	0%	18.69	18.75	0%	20.46	20.47	0%
Capital and Distributions									
CET1 ratio	14.0%	14.0%	0.0%	13.5%	13.5%	0.0%	13.5%	13.4%	0.1%
Risk Weighted Assets	262,684	262,684	0%	274,747	274,747	0%	283,661	283,661	0%
DPS (c)	52.9	52.9	0%	52.7	52.1	1%	71.1	67.4	6%
Buyback announced	2,800	2,800	0%	3,000	3,000	0%	3,000	3,000	0%

Source: BofA Global Research estimates

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Exhibit 15: Valuation using Gordon growth model

Our fundamental valuation suggests a PO of HKD186.66

	Value per share
2027E RoTE	14.5%
CoE	12%
Growth	3.5%
Book multiple	1.3x
Book multiple discounted to 1 year from now	1.2x
2026E tangible book value	1869
Value pre capital distributions (\$)	2168
Add back: dividends	161
Excess capital to 13%	69
Fundamental valuation (cents)	2398
Fundamental valuation (HKD)	186.66

Source: BofA Global Research estimates

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Cost of equity: We have reduced our cost of equity from 12.5% to 12%, in line with the assumption we use for other UK banks. This reflects lower geopolitical risks given lower trade tension particularly between the US and China.

Growth: We have increased our growth rate from 3% to 3.5%, reflecting growth trajectory in Asia Wealth.



Price objective basis & risk

Standard Chartered (XCHBF)

Our primary valuation methodology is a Gordon Growth Model based on our 2027e forecast, to which we add the present value of expected dividends. With a 12% cost of equity assumption, this suggests a price to book multiple of 1.3x, reducing to 1.2x when discounted to a year from now at our cost of equity. Applying this to 2026E tangible book value of 1,869c gives a value of 2,168c pre capital return. To this we add the dividends we forecast through to 2027E (also discounted), and adjust for excess capital to the bottom end of management guidance. Using this valuation approach, we arrive at a price objective of HKD186.66.

The upside risks to our PO are: 1. US rates stay higher for longer, terminal rate higher than expected, 2. further stimulus from the Chinese government, 3. Emerging Asia/ Hong Kong loan growth recovers faster than expected.

The downside risks to our PO are: 1. Loan growth remains subdued for longer, 2. Wealth Management flows slow as competition intensifies in the market, 3. Global trade flows reduce more than expected with higher tariffs.

Analyst Certification

I, Emma Xu, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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	Bank Of Communications Co-A	XNCTF	601328 CH	Winnie Wu
	Bank of Jiangsu	XBJCF	600919 CH	Wenqing Han, CFA
	Bank of Ningbo	XBINF	002142 CH	Wenqing Han, CFA
	BOC Hong Kong Holdings Ltd	BNKHF	2388 HK	Winnie Wu
	China CITIC Bk	CHBJF	998 HK	Emma Xu
	China Construction Bank -A	XCTBF	601939 CH	Winnie Wu
	China Galaxy Securities Co Ltd	CGXYF	6881 HK	Susie Liu, CFA
	China Galaxy Securities Co Ltd	XCXYF	601881 CH	Susie Liu, CFA
	China International Capital Corporation	CNICF	3908 HK	Susie Liu, CFA
	China Life Insurance	CIJLF	2628 HK	Michael Li
	China Pacific Insurance Group	CHPXF	2601 HK	Michael Li
	China Securities Corp	CSCFF	6066 HK	Susie Liu, CFA
	Chongqing Rural Commercial Bank	COGQF	3618 HK	Wenqing Han, CFA
	Chongqing Rural Commercial Bank - A	XCRQF	601077 CH	Wenqing Han, CFA
	CITIC Securities	CIHIF	6030 HK	Susie Liu, CFA
	CITIC Securities -A	CIISF	600030 CH	Susie Liu, CFA
	CTBC FHC	CTFHF	2891 TT	Susie Liu, CFA
	E.Sun FHC	ESUFF	2884 TT	Michael Li
	Futu Holdings	FUTU	FUTU US	Emma Xu



Greater China - Financials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
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	GF Securities	XMPQF	000776 CH	Susie Liu, CFA
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	HKEX	HKXCF	388 HK	Michael Li
	HSBC	XHSBF	5 HK	Emma Xu
	Huatai Securities	XHTLF	601688 CH	Susie Liu, CFA
	Ind & Comm BK	IDCBF	1398 HK	Winnie Wu
	PICC Group	PINXF	1339 HK	Michael Li
	PICC Property & Casualty	PPCCF	2328 HK	Michael Li
	Ping An Insurance	PIAIF	2318 HK	Michael Li
	Qifu Technology	QFIN	QFIN US	Emma Xu
	Qifu Technology	XDXRF	3660 HK	Emma Xu
	Sinolink Securities	XERQF	600109 CH	Susie Liu, CFA
	UP Fintech Holding	TIGR	TIGR US	Emma Xu
	Zheshang Securities	XDSEF	601878 CH	Susie Liu, CFA
	ZhongAn Online P&C Insurance	ZZHGF	6060 HK	Michael Li

NEUTRAL

	Agricultural Bank of China	ACGBF	1288 HK	Winnie Wu
	Bank Of China	BACHF	3988 HK	Winnie Wu
	Bank Of China -A	BACZF	601988 CH	Winnie Wu
	Bank of Comm	BKFCF	3328 HK	Winnie Wu
	Bank of Hangzhou	XBHCF	600926 CH	Wenqing Han, CFA
	Bank of Nanjing	XBNMF	601009 CH	Wenqing Han, CFA
	Bank of Suzhou	XCZIF	002966 CH	Wenqing Han, CFA
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	Fubon FHC	FUISF	2881 TT	Michael Li
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	Ping An Insurance	XPSPF	601318 CH	Michael Li
	Postal Savings Bank of China - A	XPSSF	601658 CH	Winnie Wu
	Standard Chartered	XCHBF	2888 HK	Emma Xu

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	Agricultural Bank Of China-A	XACNF	601288 CH	Winnie Wu
	Bank of E Asia	BKEAF	23 HK	Emma Xu
	Bank of E Asia-A	BKEAY	BKEAY US	Emma Xu
	BOC International (China)	XLFTF	601696 CH	Susie Liu, CFA
	China CITIC Bk -A	CHCKF	601998 CH	Emma Xu
	China Everbright Bank	CEBCF	6818 HK	Emma Xu
	China Everbright Bank	XCBLF	601818 CH	Emma Xu
	China Industrial Bank Co. Ltd.	INBLF	601166 CH	Emma Xu
	China Life Insurance	XCNNF	601628 CH	Michael Li
	China MERCH BK -A	CIHKF	600036 CH	Winnie Wu
	China Merchants Bank	CIHMF	3968 HK	Winnie Wu
	China Merchants Securities	XMRKF	600999 CH	Susie Liu, CFA
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	China Minsheng Banking Corp Ltd	CGMBF	1988 HK	Emma Xu
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	New China Life	XNWCF	601336 CH	Michael Li
	Orient Securities	XOBNF	600958 CH	Susie Liu, CFA
	Orient Securities	XONQF	3958 HK	Susie Liu, CFA
	PICC Group	XPIDF	601319 CH	Michael Li
	Ping An Bank	XPABY	000001 CH	Emma Xu
	Postal Savings Bank of China	PSBKF	1658 HK	Winnie Wu
	Shanghai Pudong Dev Bank	SHVPF	600000 CH	Emma Xu
	Shanghai Rural Commercial Bank	XQZAF	601825 CH	Wenqing Han, CFA



Greater China - Financials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
RSTR				
	Hang Seng Bk	HSNGF	11 HK	Emma Xu
	Hang Seng Bk - A	HSNGY	HSNGY US	Emma Xu
RVW				
	Lufax Holding	LU	LU US	Emma Xu

iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity
Operating Margin
Earnings Growth
Free Cash Flow

Quality of Earnings

Cash Realization Ratio
Asset Replacement Ratio
Tax Rate
Net Debt-To-Equity Ratio
Interest Cover

Valuation Toolkit

Price / Earnings Ratio
Price / Book Value
Dividend Yield
Free Cash Flow Yield
Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income
Operating Profit
Expected 5 Year CAGR From Latest Actual
Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations
Capex
Tax Charge
Net Debt = Total Debt – Cash & Equivalents
EBIT

Numerator

Current Share Price
Current Share Price
Annualised Declared Cash Dividend
Cash Flow From Operations – Total Capex
EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities
Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill
Amortization
Shareholders' Equity
Sales
N/A
N/A

Denominator

Net Income
Depreciation
Pre-Tax Income
Total Equity
Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)
Shareholders' Equity / Current Basic Shares
Current Share Price
Market Cap = Current Share Price × Current Basic Shares
Sales

Basic EBIT + Depreciation + Amortization

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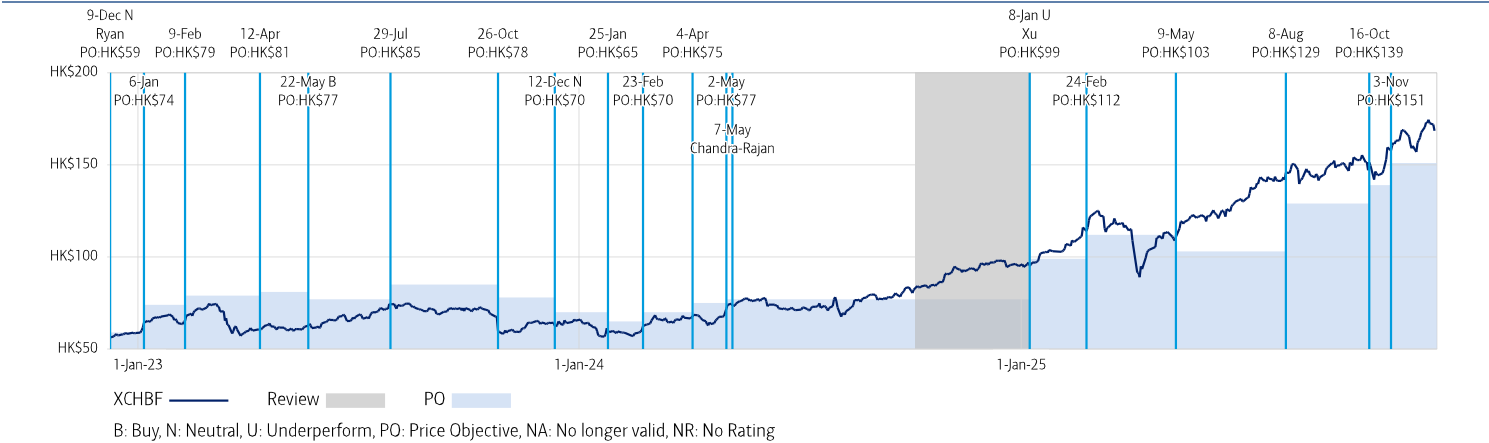
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Disclosures

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Standard Chartered (XCHBF) Price Chart



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Equity Investment Rating Distribution: Banks Group (as of 30 Sep 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	112	53.33%	Buy	91	81.25%
Hold	50	23.81%	Hold	39	78.00%
Sell	48	22.86%	Sell	39	81.25%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1816	53.11%	Buy	1062	58.48%
Hold	825	24.13%	Hold	480	58.18%
Sell	778	22.76%	Sell	385	49.49%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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